

THE HOME DEPOT, INC. (NYSE: HD)

Great Company, Fair Price

The Override Closes the Gap

Equity Research Note · Consumer Discretionary — Home Improvement Retail · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
HOLD	\$268	\$282.85 Oct 2, 2026	-5.4%	Medium Beta 0.96

Snapshot			
Market cap	~\$282 bn	Shares (diluted)	~0.998 bn
Enterprise value	~\$343 bn	52-week range	\$277.15 – \$397.63
Net debt	~\$61 bn	YTD / 1-yr return	negative / ~-24%
TTM revenue / op. margin	\$176.3 bn / ~13.5%	TTM / FY27E P/E	19.8x / 17.7x
Normalized FCF	\$15–16 bn	Dividend yield	3.3% (\$9.32 annualized)
Next catalyst	Q3'26 earnings ~Nov 17	Analyst consensus	Moderate Buy, avg PT ~\$376

This note is independent research-style analysis for informational purposes only and is not investment advice. Figures are drawn from Home Depot's SEC filings and earnings releases and market data as of October 2, 2026. Projections and the price target are the author's estimates under the compounder-quality override (Addendum A): 15-year scenario DCF, base discount 8.0%, terminal growth up to 3.0% on demonstrated margins. This note supersedes the October 4, 2026 v2 edition (REDUCE, \$208 target), which is withdrawn.

1 Investment Thesis

We are upgrading Home Depot from REDUCE to **HOLD** and raising the target from \$208 to **\$268**. Nothing about the business changed — the lens changed. Home Depot passes the compounder-quality override (Addendum A) on all three legs: **16 consecutive years of ROIC above 15%** (2010–2025), gross margins flat at **33.9% → 33.3%** (economically flat, not contraction), and **106% cumulative FCF conversion** — the strongest band. The October 4 v2 note priced this oligopoly compounder as a turnaround: a 9.0% base discount and a 10-year horizon. The override moves the base discount to **8.0%**, the bear to **10.5%** (base + 250bp), the bull to **8.0%** (base – 150bp, at the floor — the floor binds, disclosed), the explicit horizon to **15 years** (base/bull; 10 years in the bear), and terminal growth to **3.0% / 3.0% / 1.5%** on demonstrated FCF margins (9.5% / 10.5% / 6.5%). Fair value is **\$267.64 → \$268 target, 5.4% below the \$282.85 quote**. The v2 gap to the price was 26%; the override closes most of it — because a 16-year compounder was being discounted like a cyclical retailer.

To be explicit about what \$283 implies under the override: our base case — comps recover to +2–3%, operating margins re-expand toward 13.5%, free cash flow compounds ~5% a year for fifteen years to well above \$24B, leverage falls below 2x — is worth **\$305.02**, *above* the quote. The market is not pricing the recovery; it is pricing recovery-skepticism. The weighted fair value (\$267.64) is pulled below the price by the bear case (\$58.75): housing stays frozen, tariffs stick, the Pro integration disappoints — revenue declines –0.5%/yr, FCF margin compresses to 6.5%, and the derating is 79%. That bear satisfies every discipline check, and at 25% weight it is the honest price of the housing-freeze tail. The verdict follows the arithmetic: **if the price sat at the base case, this would be a BUY; weighted for the genuine downside, it is a HOLD.**

Why not REDUCE anymore? The business is genuinely elite — through-cycle compounder, 33–34% gross margins held for four years, the only scaled Pro-distribution network in the industry — and the dividend (3.3%, raised 16+ straight years) pays the wait. The v2 REDUCE rested on a 9% discount and a 10-year horizon; on the record — sixteen years above 15% ROIC — that discount was unearned pessimism. HOLD, not BUY: the bear case (\$58.75) requires housing to stay frozen *and* tariffs to stick *and* the Pro integration to disappoint, but it is a real 25%-weighted outcome. We would turn buyers toward **\$205–210**, where the weighted fair value offers a margin of safety.

Why own it (at the right price)

The Pro flywheel is the real growth engine. SRS (\$18.25B) + GMS (~\$5.5B) + Mingledorff's (\$1.1B) build a 1,200+-facility trade-distribution network aimed at the complex Pro — higher tickets, stickier relationships, better margins. Pro is well over 30% of revenue and rising; nationwide 3-hour express delivery (launched August 2026) extends the logic to the store base.

Comps have inflected. Q2 FY2026 comps +1.7% globally (+1.3% U.S.), the strongest print since Q3 FY2022; Q1 was +0.6%. Two quarters of positive comps after a two-year drought.

Margins are stable, not broken. Gross margin 33–34% for four straight years — remarkable pricing discipline through tariffs and mix shifts. Operating margin compressed 15.3% → 12.7% on integration and deleverage; re-expanding (Q2 adj. 14.7%) as comps turn.

The balance sheet funds the wait. ~\$61B net debt (~2.2x EBITDA) is elevated but investment-grade (A2/A); \$3.0B retired in H1 FY26; the \$9.32 dividend is covered ~1.7x by earnings.

Why the market should be nervous

The price assumes the recovery the fundamentals haven't delivered. \$282.85 is 19.8x TTM earnings and sits 26% above our hardened base case. The September note's own DCF sensitivity table showed \$283 at 8% WACC — i.e., the market is discounting a cyclical, levered retailer like a bond.

The Q2 gross-margin beat was borrowed from the future. A one-time ~\$685M IEEPA tariff refund (~\$0.52/share) flattered the print; management expects fuel, energy, and input-cost inflation to offset it over the full year. Underlying margin recovery is unproven.

Big-ticket deferral has lasted longer than every prior cycle's pause. Appliances, flooring, kitchen remodel — HD's highest-ticket categories — remain in a consumer 'deferral mindset' since 2023. ~70% of mortgages sit below 5%; turnover near 4M annualized is a record-low freeze, not a thaw.

Leverage is the highest in HD's modern history. Net debt/EBITDA ~2.2x; buybacks paused since March 2024. If Pro-distribution integration stumbles or comps disappoint, deleveraging slows and the historical ~2–3% buyback yield stays sidelined.

Tariff regime risk. A 15% across-the-board tariff (floated after the Supreme Court struck down prior duties) would test HD's diversification and could force price hikes that hurt units.

2 Business Overview

Home Depot (founded 1978, Atlanta) is the world's largest home-improvement retailer: ~2,350 warehouse-format stores across the U.S., Canada, and Mexico, \$176.3B of trailing sales. Three customer cohorts: DIY (~half of sales, the most cyclical), Pro (well over 30% and rising — contractors, remodelers, trades; higher ticket, repeat purchase, lower price sensitivity), and DIFM installation services. Revenue is ~90%+ North American; online comps grew 11% in Q2, the fifth straight double-digit quarter. Management describes demand as a barbell: average ticket +2.8% while transactions fell 1.0% — fewer, larger baskets; smaller repair/remodel projects and Pro demand offsetting weak big-ticket discretionary.

Two structural edges. First, exclusive brands: Milwaukee and Ryobi (via TTI), BEHR paint, Husky, HDX, LifeProof — unavailable at Lowe's or Amazon, converting tool and paint aisles into destination categories with pricing power. Second, the Pro ecosystem: the SRS/GMS trade network's same-day/next-day jobsite delivery that pure retail cannot match. The weak spots are the big-ticket discretionary categories (appliances, flooring, kitchen/bath) — cyclical, not structural, and precisely what a housing-turnover recovery would unlock. Leadership: CEO Ted Decker on temporary medical leave announced August 12, 2026; EVP Ann-Marie Campbell and CFO Richard McPhail running the company in the interim.

3 Financial Situation

A through-cycle compounder whose earnings flatlined — not collapsed — through the housing freeze. Revenue compounded through the SRS/GMS acquisitions while organic comps were negative in FY23–FY24; net income troughed in FY25 and is re-accelerating on a TTM basis. TTM free cash flow of \$10.8B looks soft but absorbs a \$2B YoY inventory build and tariff working-capital noise; normalized FCF power is \$15–16B.

\$ bn (FY ends early Feb)	FY22	FY23	FY24	FY25	TTM
Revenue	157.4	152.7	159.5	164.7	176.3
Revenue growth	+4.1%	–3.0%	+4.5%	+3.3%	+10.4%
Gross margin	33.5%	33.4%	33.4%	33.3%	33.4%
Operating margin	15.3%	14.2%	13.5%	12.7%	~13.5%
Diluted EPS (GAAP)	\$16.69	\$15.11	\$14.91	\$14.23	\$16.28
Free cash flow	11.5	18.0	16.3	12.7	10.8

TTM includes ~\$685M one-time IEEPA tariff refund in Q2 (~\$0.52/share). Sources: 10-K/10-Q filings; Yahoo Finance.

Management's reaffirmed FY2026 guidance (ends January 2027): total sales +2.5% to +4.5%, comps flat to +2%, gross margin ~33.1%, operating margin 12.4–12.6% (12.8–13.0% adjusted), GAAP/adjusted EPS flat to +4% off \$14.23/\$14.69 bases. The guidance explicitly includes the IEEPA refunds, expected to be offset over the full year by fuel, energy, and input-cost inflation — we model accordingly.

4 Competitive Landscape

A two-player national oligopoly with a long tail of specialists. Lowe's is the cleaner DIY operator (higher ROIC, dividend Aristocrat) and trades cheaper — ~14.5x forward vs HD's 17.7x. But Q2 revealed the gap: +0.2% organic comps vs HD's +1.7%, with margins compressing while HD's held. Lowe's is now mimicking the Pro-distribution playbook (Foundation Building Materials, Artisan Design Group), validating HD's strategy while trailing its execution. Beyond Lowe's: Amazon lacks jobsite logistics and Pro relationships (HD's 3-hour express delivery is a direct answer); specialty distributors (ABC Supply, QXO/Beacon) are the true Pro rivals — SRS/GMS was built to fight them on their own turf.

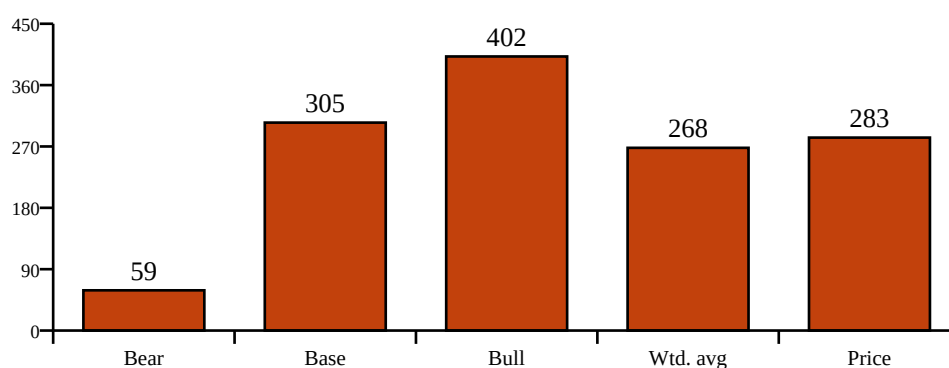
5 Valuation — Compounder Override, Fair Value \$268

The October 4 v2 note's \$208 target priced Home Depot on a 10-year scenario DCF at a 9.0% base discount — turnaround pricing for a 16-year compounder. The override (Addendum A) re-tiers the lens the record earns: a **15-year explicit horizon** (base/bull; 10 years in the bear), scenario-specific discounts **bear 10.5%** (base + 250bp) / **base 8.0%** (the strongest band — 16 consecutive years of ROIC above 15%, flat gross margins, 106% FCF conversion) / **bull 8.0%** (base – 150bp, at the floor — the floor binds, disclosed), and terminal growth of **3.0% / 3.0% / 1.5%** on year-N FCF at **demonstrated FCF margins (9.5% / 10.5% / 6.5%)** — the 8.6–10.2% typical range since 2015 (2025: 7.7% on SRS integration). Operating projections are carried from the v2 note (base 4.2% revenue CAGR; bear –0.5%; bull 5.8%). Net debt \$61B; 0.998B shares. Terminal value is 37% / 52% / 54% of EV — under the 70% haircut line everywhere.

Scenario DCF (15-year base/bull, 10-year bear):

Scenario	Rev CAGR	Terminal FCF margin	Discount / term. g	Fair value
Bear	–0.5%	6.5%	10.5% / 1.5%	\$58.75
Base	+4.2%	9.5%	8.0% / 3.0%	\$305.02
Bull	+5.8%	10.5%	8.0%* / 3.0%	\$401.77
Probability-weighted (25/50/25) → \$268 target				\$268

Scenario fair values vs. current price (\$)



*Bull discount floor binds (8.0% – 150bp = 6.5% → 8.0% floor), disclosed per Addendum A. The bear case hurts the way the rules require: housing stays frozen, comps go flat-to-negative, tariff costs stick, and the Pro integration disappoints — revenue declines –0.5%/yr, FCF margin compresses to 6.5% (300bp below base), and the derating is 79%. Bear fair value **\$58.75**, far below the quote. The base case is generous — comps +2–3%, margins back toward 13.5%, FCF compounding ~5%/yr for fifteen years — and it is worth **\$305.02**, above the price: the market is pricing recovery-skepticism, not the recovery. The bull case (\$401.77: housing-turnover snapback, comps +4%, SRS/GMS synergies beat) is 42% above the quote. What changed vs v2: –100bp on the base discount (9% → 8%), 10y → 15y horizon, terminal 2.5% → 3.0% on demonstrated margins. FV +28.6% vs v2; the price had already

reflected much of it → HOLD.

Price target: \$268. The target is the probability-weighted override DCF ($0.25 \times \$58.75 + 0.50 \times \$305.02 + 0.25 \times \$401.77 = \267.64 , rounded) — with no multiple overrule. What would falsify the HOLD: a genuine housing-turnover recovery (existing-home sales sustainably above 4.5M annualized) with comps printing +4% would argue for the bull case — as would buyback resumption ahead of schedule with leverage falling below 2x. Falsification of the override itself: two consecutive sub-15% ROIC years would revoke the compounder discount (note: HD ROIC has trended down 48.9% → 27.2% from 2021 to 2025 — watch this).

6 Key Risks

Housing / rates (the big one). HD is a leveraged play on turnover. If mortgage rates stay ~6%+ and existing-home sales languish near 4M, the big-ticket recovery underpinning any bull case never arrives; comps could re-decelerate to flat.

Tariff pass-through. The Q2 gross-margin beat was flattered by the one-time IEEPA refund; a 15% across-the-board tariff would test HD's diversification and could force unit-hurting price hikes.

Leverage and paused buybacks. Net debt/EBITDA ~2.2x is the highest in HD's modern history; the historical ~2–3% buyback yield stays sidelined until deleveraging progresses.

Big-ticket deferral persistence. The consumer 'deferral mindset' since 2023 has lasted longer than every prior cycle's pause; prolonged deferral caps ticket growth.

Leadership transition noise. CEO on temporary medical leave since August 2026; any extension creates an overhang into the holiday season.

Competition. Lowe's copying the Pro-distribution playbook; Amazon compressing delivery expectations; specialty distributors defending Pro share.

Recommendation

HOLD, \$268 target (–5.4%). Home Depot is a superb business trading at a fair price — the compounder-quality override recognizes what the v2 note's turnaround discount ignored: sixteen consecutive years of ROIC above 15%, flat gross margins, 106% FCF conversion. The override 15-year DCF values the equity at \$268 (bear \$58.75 / base \$305.02 / bull \$401.77) against a \$282.85 quote. The price sits *below* the base case — the market prices recovery-skepticism — but the 25%-weighted bear (\$58.75, housing stays frozen) is the honest price of the downside, and it pulls the weighted value 5.4% below the quote. **Current holders should hold** — the dividend (3.3%) pays the wait, and selling a 16-year compounder over a 5% gap has a poor hit rate. We would turn buyers below ~\$205, where the weighted fair value finally offers a margin of safety, and upgrade to BUY toward \$200. **Falsification:** a sustained housing-turnover recovery with +4% comps, or buyback resumption with leverage below 2x ahead of schedule, would argue the market is right to price the bull case — and we would revisit. Watch the override's own tripwire: HD's ROIC has trended down (48.9% → 27.2%, 2021–2025); two consecutive sub-15% years revokes the compounder discount.

Methodology & sources. Valuation as of October 4, 2026; share price \$282.85 (10/2/26 close). Model: compounder-quality override (Addendum A) — 15-year scenario FCFF DCF, weights bear 25% / base 50% / bull 25%; discounts base 8.0% (strongest band) / bear 10.5% / bull 8.0% (floor binds, disclosed); terminal growth 3.0% / 1.5% / 3.0% on year-N FCF at demonstrated mid-cycle margins (9.5% / 6.5% / 10.5%). Qualification: 16 consecutive years ROIC >15% (2010–2025), gross margins 33.9% → 33.3%, 106% cumulative FCF conversion; falsification watch: ROIC trending down (48.9% → 27.2%, 2021–2025), two consecutive sub-15% years revokes the override. Net debt \$61B; 0.998B diluted shares. Bear case meets all hurt conditions and sits below the current price. Terminal value is 37–54% of EV (no haircut required). Financials from SEC 10-K/10-Q filings (CIK 354950) and earnings releases; market data via Yahoo Finance. This note is research analysis for informational purposes and is not personalized investment advice. Equity investing involves risk of loss. The author holds no position in HD at the time of writing.